

Materials and Storm-Stock Strategy: Distribution Transformers

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Memo to the Chief Operating Officer and the Chief Financial Officer from Supply Chain and Fleet, September 4, 2026; copy to the Vice President, Distribution Operations. Subject: distribution transformer stock and storm reserve. It explains the August stockouts, their effect on field work and the options for the rest of 2026.

Summary

In August 2026 three pad-mount transformer sizes fell below their reorder minimums, leaving only storm reserve stock. New-service and replacement work that needs those sizes is waiting. We ask for a decision on the options in section 6.

1. Stock position at August 31

3 of 146 stocked items were below their reorder minimum, all pad-mount transformers:

- Single-phase 50 kVA, 7.2 kV: 38 on hand against a minimum of 120, all held as storm reserve.
- Single-phase 100 kVA, 7.2 kV: 22 on hand against a minimum of 70, all held as storm reserve.
- Three-phase 500 kVA, 12.47 kV: 3 on hand against a minimum of 12, all held as storm reserve.

2. Effect on field work

At August 31, 87 work orders in Bayou and Crossroads were waiting for material, 71 of them transformer replacements, plus 9 pole replacements and 7 small new services. Another 34 were waiting for a planned outage.

3. Demand

Delivery points grew 1.5% from August 2025 to August 2026, with 13,152 new service points connected in 2025 and 8,337 from January to August 2026. The May wind event added 610 failed transformers.

4. Supply

Distribution transformers come from two qualified suppliers, Supplier A (Larkspur Electric Products) and Supplier B (Tidewell Transformer Company). Quoted lead times for stocked transformers range from 30 to 104 weeks, with a median of 60 weeks.

Supplier B has indicated a fourth-quarter 2026 delivery of 400 single-phase 50 kVA pad-mount units but has not confirmed the date in writing; we treat this delivery as unconfirmed.

This is an industry-wide constraint: a 2024 national study reported lead times of up to two years and price increases of four to nine times over three years, with an estimated 60 to 80 million distribution transformers in service in the United States.

5. Storm reserve policy

Storm-critical items carry a storm reserve that is part of on-hand stock and can be released only by the storm materials lead or the VP Supply Chain and Fleet. Releasing reserve for routine work reduces the stock available for the rest of the hurricane season.

6. Options

- A. Raise reorder minimums for single-phase pad-mounts by about 40%.
- B. Release up to half of the storm reserve for new-service work until December 1.
- C. Qualify a third supplier.
- D. Repair or rewind selected returned units.

7. Cost

Raising minimums and the storm reserve for the three sizes would add about \$6.2 million of inventory. Options B and D have no inventory cost but carry storm and quality risk.

8. Stock summary

Totals of on-hand, minimum, reserve, open purchase-order and issue quantities across all 146 items, and the average quoted lead time, follow. Quantities are in each item's stocking unit, so the totals are indicative only.

Measure	Value
Measure	on_hand
Unit	units
Total	115692
Mean	792.411
Records	146
Period	2026-08-31 to 2026-08-31
Measure	min_qty

Unit	units
Total	68000
Mean	465.7534
Records	146
Period	2026-08-31 to 2026-08-31
Measure	storm_reserve_qty
Unit	units
Total	10088
Mean	69.0959
Records	146
Period	2026-08-31 to 2026-08-31
Measure	open_po_qty
Unit	units
Total	109477
Mean	749.8425
Records	146
Period	2026-08-31 to 2026-08-31
Measure	avg_monthly_issue
Unit	units
Total	30504
Mean	208.9315
Records	146
Period	2026-08-31 to 2026-08-31
Measure	lead_time_weeks
Unit	weeks
Total	4255
Mean	29.1438
Records	146
Period	2026-08-31 to 2026-08-31

Stock status at August 31, 2026 for stocked electric and gas distribution items at the central warehouse and district yards: on hand, reorder minimum, storm reserve (included in on hand), open purchase orders, average monthly issues and quoted lead time.